AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACT111
Financial Accounting

AOU EGYPT

Final Examination – Version B
First Semester 2024-2025

8-Jan-2025

umber of Exam Pages: 3 ıcluding this cover sheet)	**Time Allowed: 2 Hours**

Instructions:

ake **FIVE (5)** minutes to read all instructions carefully before attempting to write.
obile phones must be in "SWITCHED **OFF"** mode throughout the examination.
iis is a **CLOSED** book examination. NO documents of any kind are allowed.
ou **MUST** answer the questions using only the answer booklets provided.
ou **MUST** return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches.
idents are **NOT** allowed to use any type of dictionary or mobile phones during the exami
idents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (37 marks)

Based on the unadjusted trial balance for Jordan Company on December 31, 2022, Total revenues were $94,200 and total expenses were $80,900. Additional information is provided below:

a. On January 1, 2022, the company purchased equipment for $96,000 cash. The equipment has an estimated useful life of 6 years and expects to sell the equipment at the end of its life for $6,000 cash.
b. The Prepaid Insurance account had a $5,000 debit balance on December 31 before adjusting for the costs of any expired coverage. An analysis of the company's insurance policies showed that $1,650 of unexpired insurance coverage remains.
c. On Dec. 12, 2022, a customer agreed to pay $1,800 on Jan. 10, 2023, of the next year for future services over the next 30 days.
d. One-third of the work related to $27,000 of cash received in advance was performed during this period.
e. As of December 31, 2022, $3,450 of interest expense has accrued on a note payable. The full interest payment of $5,750 on the note is due on May 20, 2023.
f. The Supplies account had a $550 debit balance at the beginning of the year, and $1,750 of supplies were purchased during the year. The December 31 physical count showed $800 of supplies available.

Required:

1) Use the above information to prepare the adjusting entries for the year ended December 31, 2022.
2) Calculate the Adjusted Expenses for Jordan company for the year ended December 31, 2022.

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Question 2 (36 marks)

The adjusted trial balance of Brian Repairs on December 31 follows.

BRIAN REPAIRS
Adjusted Trial Balance
December 31

Account Title	Debit	Credit
Cash	$ 36,200	
Office supplies	250	
Prepaid insurance	2,750	
Equipment	9,500	
Accumulated depreciation—Equipment		$ 15,600
Land	30,000	
Accounts payable		9,000
Wages payable		5,200
Notes payable –Due in April 2024		17,700
M. Brian, Capital		47,200
M. Brian, Withdrawals	5,000	
Services revenue		45,500
Depreciation expense—Equipment	5,600	
Wages expense	20,000	
Insurance expense	5,500	
Rent expense	18,500	
Office supplies expense	3,200	
Utilities expense	3,700	
Totals	$ 140,200	$ 140,200

Note: M. Brian, Capital account balance was $47,200 on December 31 of the *prior year*, and there were no owner investments during the year.

Required:

1) Prepare the December 31,2022 closing entries.
2) Prepare the December 31, 2022 post-closing trial balance.
3) Calculate the current ratio and assess the company's ability to pay its debts.

Question 3 (27 marks)

Top Fitness reports the following accounts for the year ended December 31.

Gain on sale of equipment	$ 3,140	Sales discounts	5,550
Beginning inventory	5,500	Sales returns and allowances	3,000
Purchases	35,000	Interest revenue	500
Sales	122,000	Selling expenses	25,900
Purchases discounts	1,200	General & administrative expenses	19,000
Ending inventory	3,000	Rent revenue	900

Required: Prepare a multi-step income statement for Top Fitness and calculate the gross profit (margin) ratio. *Show all calculations.*

[End of Questions]

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